

Registered Number 00095489

Manchester United Football Club Limited  
Annual report and financial statements  
for the year ended 30 June 2016

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# **Manchester United Football Club Limited**

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## Manchester United Football Club Limited

### Strategic report

Manchester United Football Club Limited (the "Company") is a professional football club and part of the Red Football Limited (the parent undertaking of the smallest group of undertakings to consolidate these financial statements) group (the "Group"). The directors present their Strategic report on the Company for the year ended 30 June 2016

#### Review of the business

During the year the Company transitioned to Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101") as the basis for the preparation of its financial statements and has taken advantage of the disclosure exemptions allowed under this standard. The Company's parent undertaking was notified of, and did not object to, the use of the EU adopted International Financial Reporting Standards ("IFRS") disclosure exemptions

During the year Old Trafford staged 30 (2015: 23) match day events comprising 29 (2015: 22) Manchester United home games (19 FA Premier League, 4 domestic cup and 6 European competition) and 1 (2015: 1) Rugby League Grand Final

Revenue for the year was £230.3 million (2015: £182.6 million). Operating loss before loss on disposal of intangible assets for the year was £99.7 million (2015: £107.8 million). Loss on disposal of intangible assets for the year amounted to £9.8 million (2015: profit of £23.6 million). Loss on ordinary activities before tax for the year was £111.7 million (2015: £86.7 million). Loss on ordinary activities before tax for the year includes net finance costs of £2.3 million (2015: £2.6 million)

#### Principal risks and uncertainties

The principal risk and uncertainty facing the Company is that it will be unable to service and repay its liabilities. However, the immediate parent undertaking, Manchester United Limited, acts as guarantor and will provide the necessary financial support to enable the Company to meet its liabilities as they fall due.

From the perspective of the Company, the principal risks and uncertainties are integrated with the principal risks of the Group and are not managed separately. Accordingly the principal risks and uncertainties of the Group, which include those of the Company, are discussed on pages 5 and 6 of the Red Football Limited Group's Annual Report and financial statements which does not form part of this report. The Annual Report and financial statements of the Red Football Limited Group can be obtained from the Company Secretary, Red Football Limited, Old Trafford, Manchester, M16 0RA

#### Key performance indicators

The directors of Red Football Limited manage the Group's operations on a group basis. For this reason, the Company's ~~directors believe that analysis using key performance indicators for the Company is not necessary or appropriate for an~~ understanding of the development, performance or position of the business of Manchester United Football Club Limited. The development, performance and position of the Group, which includes the Company, are discussed on page 4 of the Red Football Limited Group's Annual Report and financial statements, which does not form part of this report.

On behalf of the board



E Woodward  
Director

30 November 2016

# **Manchester United Football Club Limited**

## **Directors' report (continued)**

The directors present their report and audited financial statements of the Company for the year ended 30 June 2016

### **Dividends**

An interim dividend of £nil was paid during the year (2015 £nil) The directors do not recommend the payment of a final dividend (2015 £nil)

### **Future developments**

The Company continues to explore new commercial opportunities within the United Kingdom and overseas to further leverage the business The directors have received confirmation that Manchester United Limited intends to support the Company for at least one year after these financial statements are signed On the basis of this undertaking the directors consider it appropriate to produce the financial statements on a going concern basis

### **Financial risk management**

The Company's activities expose it to a variety of financial risks market risk (including currency risk and interest rate risk), credit risk and liquidity risk The Company uses derivative financial instruments to hedge certain exposures The policy for each of the above risks is described in more detail below

#### **a) Market risk**

##### **Currency risk**

The Company is exposed to the following currency risks

- Significant amount of revenue denominated in Euro
- Payments and receipts of transfer fees may also give rise to foreign currency exposures

##### **Interest rate risk**

The Company has no significant interest bearing assets other than cash on deposit which attracts interest at a small margin above UK base rates Interest bearing liabilities include any bank overdraft which bears interest at a variable rate

#### **b) Credit risk**

Credit risk arises from cash and cash equivalents and trade and other receivables (excluding amounts owed by group undertakings, corporation tax receivable and prepayments) – the maximum credit exposure is £208,062,000 (2015 £93,562,000) Management does not expect any material losses from non-performance by these counterparties and there are no significant concentrations of credit risk within the Company

Credit terms offered by the Company vary depending on the type of sale For seasonal matchday facilities payment is usually required in advance of the season to which the sale relates For other sales the credit terms typically range from 14 - 30 days, although specific agreements may be negotiated in individual contracts with terms beyond 30 days For player transfer activities, credit terms are determined on a contract by contract basis Of the total trade receivables balance of £48,953,000 (2015 £23,630,000), £46,646,000 (2015 £20,693,000) relates to amounts receivable from various other football clubs in relation to player trading

#### **c) Liquidity risk**

The Company's liquidity position and short-term debt finance ensures that it has sufficient funds available for short-term working capital requirements and for investment in the playing squad and other capital projects The annual cash flow is cyclical in nature with a significant portion of cash inflows being received prior to the start of the playing season Ultimate responsibility for liquidity risk management rests with the Executive Directors of the Company's immediate parent company Manchester United Limited The Executive Directors use management information tools including budgets and cash flow forecasts to constantly monitor and manage current and future liquidity

Cash flow forecasting is performed on a regular basis which includes rolling forecasts of the Company's liquidity requirements to ensure that the Company has sufficient cash to meet operational needs

# **Manchester United Football Club Limited**

## **Directors' report (continued)**

### **Events after the reporting date**

Information about events after the reporting date can be found in note 23 to the financial statements

### **Directors**

The directors who held office throughout the year and up to the date of signing the financial statements (unless otherwise stated) were as follows

R Arnold

Sir R Charlton CBE

J M Edelson

Sir A Ferguson CBE

D A Gill

A Glazer

B Glazer

J Glazer

K Glazer

D Glazer Kasewitz

E Glazer

E Woodward

### **Qualifying third party indemnity provisions**

At the time the report was approved a qualifying third party indemnity provision, made by the Manchester United plc Group was in place for the directors of Manchester United plc and its subsidiary companies. This has been in force throughout the financial year

### **Employment policies**

The Company is committed to its 'people philosophy' and, as a result, to promoting policies which ensure that employees and applicants for employment are treated fairly and consistently. The Group has an equal opportunities policy, the aim of which is to ensure employees or applicants for employment are not discriminated against on the grounds of age, disability, ethnic origin, nationality or national origin, religion, race, gender, sexual orientation, gender re-assignment, marital status or family circumstances. Entry into and progression within the Group is determined solely by the job criteria and personal ability/competence. The Company also seeks to apply best practice in the employment, training, development and promotion of disabled persons. The Company takes seriously its statutory obligations relating to disabled persons and seeks not to discriminate against current or prospective employees because of a reason relating to their disability. If an existing employee becomes disabled, such steps that are practical and reasonable are taken, in respect of adjustments to premises or employment arrangements, to retain him/her in employment. Where appropriate, rehabilitation and suitable training are given.

Employees are regularly updated on the performance of the Company. This is achieved through a broad base of communications including monthly management meetings, staff briefings and announcements. Employees' views are sought through staff surveys and action plans are then developed to target priority for improvement areas. The Company is continuing with its focus on reward and recognition of performance as one of these priorities for improvement and its focus on a total reward strategy which has three principal components: compensation (pay package), benefits and the work experience. Schemes are continually introduced which focus on rewarding individual performance.

The Company has established its Vision and Values and these are communicated to all employees. Our Vision and Values are directly linked to performance and development review procedures, training and organisational change programmes and reward and recognition initiatives, which apply to all our employees.

## Manchester United Football Club Limited

### Directors' report (continued)

#### Statement of directors' responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have prepared the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) including Financial Reporting Standard 101 Reduced Disclosure Framework (FRS 101).

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable United Kingdom Accounting Standards, including FRS 101, have been followed, subject to any material departures disclosed and explained in the financial statements;
- notify the company's shareholders in writing about the use of disclosure exemptions, if any, of FRS 101 used in the preparation of financial statements; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

#### Statement of disclosure of information to auditors

Each director who is a director at the date of approval of this Annual Report and financial statements confirms that:

- a) so far as the director is aware, there is no relevant audit information of which the Company's auditors are unaware, and
- b) the director has taken all the steps that he/she ought to have taken as a director in order to make himself/herself aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

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This confirmation is given and should be interpreted in accordance with the provisions of s418 of the Companies Act 2006

On behalf of the board



E Woodward  
Director

30 November 2016

# **Manchester United Football Club Limited**

## **Independent auditors' report to the members of Manchester United Football Club Limited**

### **Report on the financial statements**

#### **Our opinion**

In our opinion, Manchester United Football Club Limited's financial statements (the "financial statements")

- give a true and fair view of the state of the company's affairs as at 30 June 2016 and of its loss for the year then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006

#### **What we have audited**

The financial statements, included within the Annual Report and financial statements (the "Annual Report"), comprise

- the Balance sheet as at 30 June 2016,
- the Income statement for the year then ended,
- the Statement of changes in equity for the year then ended, and
- the notes to the financial statements, which include a summary of significant accounting policies and other explanatory information

The financial reporting framework that has been applied in the preparation of the financial statements is United Kingdom Accounting Standards, comprising FRS 101 'Reduced Disclosure Framework', and applicable law (United Kingdom Generally Accepted Accounting Practice)

In applying the financial reporting framework, the directors have made a number of subjective judgements, for example in respect of significant accounting estimates. In making such estimates, they have made assumptions and considered future events.

#### **Opinion on other matters prescribed by the Companies Act 2006**

In our opinion, the information given in the Strategic report and the Directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements.

#### **Other matters on which we are required to report by exception**

##### **Adequacy of accounting records and information and explanations received**

Under the Companies Act 2006 we are required to report to you if, in our opinion

- we have not received all the information and explanations we require from our audit, or
- adequate accounting records have not been kept by the parent company, or returns adequate for our audit have not been received from branches not visited by us, or
- the financial statements are not in agreement with the accounting records and returns

We have no exceptions to report arising from this responsibility.

##### **Directors' remuneration**

Under the Companies Act 2006 we are required to report to you if, in our opinion, certain disclosures of directors' remuneration specified by law are not made. We have no exceptions to report arising from this responsibility.

# **Manchester United Football Club Limited**

## **Independent auditors' report to the members of Manchester United Football Club Limited (continued)**

### **Responsibilities for the financial statements and the audit**

#### **Our responsibilities and those of the directors**

As explained more fully in the Statement of directors' responsibilities set out on page 6, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view.

Our responsibility is to audit and express an opinion on the financial statements in accordance with applicable law and International Standards on Auditing (UK & Ireland) ("ISAs (UK & Ireland)"). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors

This report, including the opinions, has been prepared for and only for the Company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.

#### **What an audit of financial statements involves**

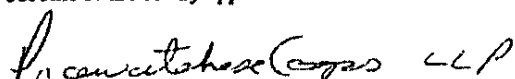
We conducted our audit in accordance with ISAs (UK And Ireland). An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error. This includes an assessment of:

- whether the accounting policies are appropriate to the Group's circumstances and have been consistently applied and adequately disclosed,
- the reasonableness of significant accounting estimates made by the directors, and
- the overall presentation of the financial statements.

We primarily focus our work in these areas by assessing the directors' judgements against available evidence, forming our own judgements, and evaluating the disclosures in the financial statements

We test and examine information, using sampling and other auditing techniques, to the extent we consider necessary to provide a reasonable basis for us to draw conclusions. We obtain audit evidence through testing the effectiveness of controls, substantive procedures or a combination of both.

In addition, we read all the financial and non-financial information in the Annual Report and financial statements to identify material inconsistencies with the audited financial statements and to identify any information that is apparently materially incorrect based on, or materially inconsistent with, the knowledge acquired by us in the course of performing the audit. If we become aware of any apparent material misstatements or inconsistencies we consider the implications for our report.



**Graham Parsons (Senior Statutory Auditor)**  
**For and on behalf of PricewaterhouseCoopers LLP**  
**Chartered Accountants and Statutory Auditors**  
**Manchester**

16 December 2016

# **Manchester United Football Club Limited** **Income statement**

|                                                                    | Note | Year ended 30 June |                                        |
|--------------------------------------------------------------------|------|--------------------|----------------------------------------|
|                                                                    |      | 2016<br>£'000      | Restated <sup>1</sup><br>2015<br>£'000 |
| <b>Revenue</b>                                                     | 4    | <b>230,271</b>     | 182,623                                |
| Operating expenses - excluding exceptional items                   | 5    | (314,809)          | (289,140)                              |
| Operating expenses - exceptional items                             | 6    | (15,135)           | (1,247)                                |
| Total operating expenses                                           |      | (329,944)          | (290,387)                              |
| <b>Operating loss before loss on disposal of intangible assets</b> |      | <b>(99,673)</b>    | (107,764)                              |
| (Loss)/profit on disposal of intangible assets                     |      | (9,786)            | 23,649                                 |
| <b>Operating loss</b>                                              |      | <b>(109,459)</b>   | (84,115)                               |
| Finance costs                                                      |      | (2,381)            | (2,786)                                |
| Finance income                                                     |      | 99                 | 179                                    |
| Net finance costs                                                  | 8    | (2,282)            | (2,607)                                |
| <b>Loss on ordinary activities before tax</b>                      |      | <b>(111,741)</b>   | (86,722)                               |
| Tax credit                                                         | 9    | 29,021             | 21,010                                 |
| <b>Loss for the year</b>                                           |      | <b>(82,720)</b>    | (65,712)                               |

There were no items of other comprehensive income or loss in the current or prior year and therefore no statement of comprehensive income has been presented

<sup>1</sup> See note 25

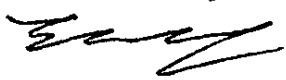
# Manchester United Football Club Limited

## Balance sheet

|                                     |      | As at 30 June    |                           |
|-------------------------------------|------|------------------|---------------------------|
|                                     | Note | 2016<br>£'000    | Restated<br>2015<br>£'000 |
| <b>ASSETS</b>                       |      |                  |                           |
| <b>Non-current assets</b>           |      |                  |                           |
| Property, plant and equipment       | 10   | 139,672          | 141,837                   |
| Intangible assets                   | 11   | 241,724          | 238,146                   |
| Derivative financial instruments    | 12   | 708              | -                         |
| Trade and other receivables         | 13   | 11,223           | 3,836                     |
|                                     |      | <b>393,327</b>   | <b>383,819</b>            |
| <b>Current assets</b>               |      |                  |                           |
| Derivative financial instruments    | 12   | 5,692            | -                         |
| Trade and other receivables         | 13   | 194,006          | 143,407                   |
| Cash at bank and in hand            |      | 149,361          | 69,292                    |
|                                     |      | <b>349,059</b>   | <b>212,699</b>            |
| <b>Total assets</b>                 |      | <b>742,386</b>   | <b>596,518</b>            |
| <b>EQUITY AND LIABILITIES</b>       |      |                  |                           |
| <b>Equity</b>                       |      |                  |                           |
| Share capital                       | 14   | 1,009            | 1,009                     |
| Retained deficit                    |      | (129,425)        | (46,705)                  |
|                                     |      | <b>(128,416)</b> | <b>(45,696)</b>           |
| <b>Non-current liabilities</b>      |      |                  |                           |
| Derivative financial instruments    | 12   | 927              | 2,591                     |
| Trade and other payables            | 15   | 41,450           | 48,078                    |
| Deferred revenue                    |      | 435              | 527                       |
| Deferred tax liability              | 16   | 5,094            | 1,450                     |
|                                     |      | <b>47,906</b>    | <b>52,646</b>             |
| <b>Current liabilities</b>          |      |                  |                           |
| Derivative financial instruments    | 12   | 2,800            | 2,906                     |
| Trade and other payables            | 15   | 767,344          | 534,169                   |
| Deferred revenue                    |      | 52,752           | 52,433                    |
|                                     |      | <b>822,896</b>   | <b>589,568</b>            |
| <b>Total equity and liabilities</b> |      | <b>742,386</b>   | <b>596,518</b>            |

The notes on pages 12 to 33 are an integral part of these financial statements. The financial statements on pages 9 to 31 were approved by the board of directors on 30 November 2016 and were signed on its behalf by

F. Woodward  
Director



Registered Number 00095489

# **Manchester United Football Club Limited** **Statement of changes in equity**

|                                                 | Share<br>capital<br>£'000 | Retained<br>earnings/<br>deficit<br>£'000 | Total<br>equity<br>£'000 |
|-------------------------------------------------|---------------------------|-------------------------------------------|--------------------------|
| Balance at 1 July 2014 (as previously reported) | 1,009                     | 19,286                                    | 20,295                   |
| Effect of changes on transition to FRS 101      | -                         | (279)                                     | (279)                    |
| Balance at 1 July 2014 (restated)               | 1,009                     | 19,007                                    | 20,016                   |
| Loss for the year (restated)                    | -                         | (65,712)                                  | (65,712)                 |
| Balance at 30 June 2015 (restated)              | 1,009                     | (46,705)                                  | (45,696)                 |
| Loss for the year                               | -                         | (82,720)                                  | (82,720)                 |
| <b>Balance at 30 June 2016</b>                  | <b>1,009</b>              | <b>(129,425)</b>                          | <b>(128,416)</b>         |

Restated – see note 25

# Manchester United Football Club Limited

## Notes to the financial statements

### 1 General information

Manchester United Football Club Limited (the “Company”) is a private company limited by share capital domiciled and incorporated in the United Kingdom and registered in England and Wales. The address of its registered office is Sir Matt Busby Way, Old Trafford, Manchester, M16 0RA. The registered number of the Company is 00095489.

These financial statements are presented in pounds sterling and all values are rounded to the nearest thousand (£'000) except when otherwise indicated.

### 2 Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

#### 2.1 Basis of preparation

The financial statements of Manchester United Football Club Limited have been prepared on a going concern basis and in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework (“FRS 101”). The Company transitioned to FRS 101 for all periods presented. Reconciliations of equity and profit determined in accordance with the previous financial reporting framework, UK Generally Accepted Accounting Principles (“UK GAAP”), to equity and profit determined in accordance with FRS 101 are presented in note 25.

The preparation of financial statements in conformity with FRS 101 requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Company’s accounting policies. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 3.

The following exemptions from the requirements of International Financial Reporting Standards (“IFRS”) have been applied in the preparation of these financial statements, in accordance with FRS 101:

- IFRS 7, “Financial instruments disclosures”,
- Paragraphs 91 to 99 of IFRS 13, “Fair value measurement” (disclosure of valuation techniques and inputs used for fair value measurement of assets and liabilities),
- Paragraph 38 of IAS 1, “Presentation of financial statements” comparative information requirements in respect of
  - (i) paragraph 79(a)(iv) of IAS 1,
  - (ii) paragraph 73(e) of IAS 16 “Property, plant and equipment”,
  - (iii) paragraph 118(e) of IAS 38 “Intangible assets”, and
  - (iv) paragraphs 76 and 79(d) of IAS 40 “Investment property”
- The following paragraphs of IAS 1 “Presentation of financial statements”
  - 10(d), (statement of cash flows),
  - 10(f), (a balance sheet as at the beginning of the preceding period when an entity applies an accounting policy retrospectively or makes a retrospective restatement of items in its financial statements, or when it reclassifies items in its financial statements),
  - 16 (statement of compliance with all IFRS),
  - 38A (requirement for minimum of two primary statements, including cash flow statements),
  - 38B-D (additional comparative information),
  - 40A-D (requirements for a third balance sheet),
  - 111 (cash flow statement information), and
  - 134-136 (capital management disclosures)
- IAS 7, “Statement of cash flows”,
- Paragraphs 30 and 31 of IAS 8 “Accounting policies, changes in accounting estimates and errors” (requirement for the disclosure of information when an entity has not applied a new IFRS that has been issued but is not yet effective),
- Paragraph 17 of IAS 24, “Related party disclosures” (key management compensation),
- The requirements in IAS 24, “Related party disclosures” to disclose related party transactions entered into between two or more members of a group

# **Manchester United Football Club Limited**

## **Notes to the financial statements (continued)**

### **2 Summary of significant accounting policies (continued)**

#### **2.2 Consolidation**

The Company is a wholly owned subsidiary of Manchester United Limited and of its ultimate parent undertaking and controlling party, Red Football Limited Partnership. It is included in the consolidated financial statements of Manchester United plc which can be obtained from the website [www.manutd.com](http://www.manutd.com)

These financial statements are company only financial statements

#### **2.3 Going concern**

The directors have received confirmation that Manchester United Limited intends to support the Company for at least one year after these financial statements are signed. On the basis of this undertaking the directors consider it appropriate to produce the financial statements on a going concern basis.

#### **2.4 Segment reporting**

The Company has one reportable segment, being the operation of a professional football club. The chief operating decision maker (being the Board and executive officers of Manchester United plc), who is responsible for allocating resources and assessing performance obtains financial information, being the Consolidated income statement, Consolidated balance sheet and Consolidated statement of cash flows, and the analysis of changes in net debt, about the Group as a whole. The Group has investment property, however, this is not considered to be a material business segment and is therefore not reported as such.

#### **2.5 Foreign currency translation**

##### **a) Functional and presentation currency**

Items included in the financial statements of the Company are measured using the currency of the primary economic environment in which the Company operates ('the functional currency'). The financial statements are presented in Pounds Sterling which is also the Company's functional currency.

##### **b) Transactions and balances**

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the income statement within operating expenses.

# **Manchester United Football Club Limited**

## **Notes to the financial statements (continued)**

### **2 Summary of significant accounting policies (continued)**

#### **2.6 Revenue recognition**

Revenue is measured at the fair value of the consideration received or receivable from the Company's principal activities excluding transfer fees and value added tax. The Company's principal revenue streams are Commercial, Broadcasting and Matchday. The Company recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the entity and when specific criteria have been met for each of the Company's activities as described below.

##### **a) Commercial**

Commercial revenue comprises revenue receivable from the FA Premier League in relation to various sponsorship contracts that the FA Premier League negotiates centrally.

Commercial revenue which is received in advance of a period end but relating to future periods is treated as deferred revenue. The deferred revenue is then released to revenue on an accruals basis in accordance with the substance of the relevant agreements.

##### **b) Broadcasting**

Broadcasting revenue represents revenue receivable from all UK and overseas broadcasting contracts, including contracts negotiated centrally by the FA Premier League and UEFA.

Distributions from the FA Premier League comprise a fixed element (which is recognised evenly as domestic home league matches are played), facility fees for live coverage and highlights of domestic home and away matches (which are recognised when the respective match is played), and merit awards (which are only recognised when they are known at the end of each football season).

Distributions from UEFA relating to participation in European cup competitions comprise market pool payments (which are recognised over the matches played in the competition, a portion of which reflects Manchester United's performance relative to the other FA Premier League clubs in the competition) and fixed amounts for participation in individual matches (which are recognised when the matches are played).

Broadcasting revenue which is received in advance of a period end but relating to future periods is treated as deferred revenue. The deferred revenue is then released to revenue on an accruals basis in accordance with the substance of the relevant agreements.

##### **c) Matchday**

Matchday revenue is recognised based on matches played throughout the year with revenue from each match being recognised when the match has been played.

Matchday revenue includes revenue receivable from all domestic and European matchday activities from Manchester United games at Old Trafford, together with the Company's share of gate receipts from cup matches not played at Old Trafford (where applicable) and fees for arranging other events at the Old Trafford stadium. The share of gate receipts payable to the other participating club and competition organisers for cup matches played at Old Trafford (where applicable) is treated as an operating expense.

Matchday revenue which is received in advance of a period end but relating to future periods (mainly the sale of seasonal facilities for first team matches at Old Trafford) is treated as deferred revenue. The deferred revenue is then released to revenue as the matches are played.

# **Manchester United Football Club Limited**

## **Notes to the financial statements (continued)**

### **2 Summary of significant accounting policies (continued)**

#### **2.6 Revenue recognition (continued)**

##### **d) Accrued revenue**

Revenue from Matchday activities, broadcasting and commercial contracts, which is received after the period to which it relates, is accrued as earned

##### **e) Deferred revenue**

Revenue from Matchday activities, broadcasting and commercial contracts, received or receivable prior to the period end in respect of future periods, is deferred

#### **2.7 Operating leases**

Leases in which a substantially all of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases (net of any incentives received from the lessor) are charged to the income statement on a straight line basis over the period of the lease.

#### **2.8 Exceptional items**

Exceptional items are disclosed separately in the financial statements where it is necessary to do so to provide further understanding of the financial performance of the Company. They are material items of income or expense that have been shown separately due to the significance of their nature or amount.

#### **2.9 Pension costs**

The Company is one of a number of participating employers in The Football League Limited Pension and Life Assurance Scheme ('the scheme' – see note 20.1). The Company is unable to identify its share of the assets and liabilities of the scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme. The Company's contributions into this scheme are reflected within the income statement when they fall due. Full provision has been made for the additional contributions that the Company has been requested to pay to help fund the scheme deficit.

The Company also operates a defined contribution scheme. The assets of the scheme are held separately from those of the Company in an independently administered fund. The Company's contributions into this scheme are reflected within the income statement when they fall due.

#### **2.10 Current and deferred tax**

The tax expense or credit for the period comprises current and deferred tax. Tax is recognised in the income statement, except to the extent that it relates to items recognised in other comprehensive income, in which case the tax is also recognised in other comprehensive income.

The current tax charge or expense is calculated on the basis of the tax laws enacted or substantively enacted at the balance sheet date in the countries where the Company operates and generates taxable income. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to (or recovered from) the tax authorities.

Deferred tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. Deferred tax is determined using tax rates (and laws) that have been enacted or substantively enacted by the balance sheet date and are expected to apply when the related deferred tax asset is realised or the deferred liability is settled.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilised.

# **Manchester United Football Club Limited**

## **Notes to the financial statements (continued)**

### **2 Summary of significant accounting policies (continued)**

#### **2.10 Current and deferred tax (continued)**

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred tax assets and liabilities relate to taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis

#### **2.11 Property, plant and equipment**

Property, plant and equipment is initially measured at cost (comprising the purchase price, after deducting discounts and rebates, and any directly attributable costs) and is subsequently carried at cost less accumulated depreciation and any provision for impairment

Subsequent costs, for example, capital improvements and refurbishment, are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. Where appropriate, the carrying amount of the replaced part is derecognised. All other repairs and maintenance are charged to the income statement during the financial period in which they are incurred.

With the exception of leasehold property, depreciation is calculated using the straight-line method to write-down assets to their residual value over their estimated useful lives as follows:

|                                                  |           |
|--------------------------------------------------|-----------|
| Computer equipment and software (included within |           |
| Plant and machinery)                             | 3 years   |
| Plant and machinery                              | 4-5 years |
| Fixtures and fittings                            | 7 years   |

Leasehold property is depreciated over the shorter of the expected period of the lease and the expected useful economic life.

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. Any impairment charges arising are recognised in the income statement when the carrying amount of an asset is greater than the estimated recoverable amount, which is the higher of an asset's fair value less costs to sell and value in use, and are calculated with reference to future discounted cash flows that the asset is expected to generate when considered as part of a cash-generating unit. Prior impairments are reviewed for possible reversal at each balance sheet date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised within operating expenses within the income statement.

# **Manchester United Football Club Limited**

## **Notes to the financial statements (continued)**

### **2 Summary of significant accounting policies (continued)**

#### **2.12 Intangible assets - registrations and football staff remuneration**

##### **a) Remuneration**

Remuneration is charged to operating expenses on a straight-line basis over the contract periods based on the amount payable to players and key football management staff for that period. Any performance bonuses are recognised when the Company considers that it is probable that the condition related to the payment will be achieved.

Signing-on fees are typically paid to players and key football management staff in equal annual instalments over the term of the contract. Instalments are paid at or near the beginning of each financial year and recognised as prepayments within trade and other receivables. They are subsequently charged to the income statement (as operating expenses) on a straight-line basis over the financial year. Signing-on fees paid form part of cash flows from operating activities.

Loyalty fees are bonuses which are paid to players and key football management staff either at the beginning of a renewed contract or in instalments over the term of their contract in recognition for either past or future performance. Loyalty bonuses for past service are typically paid in a lump sum amount upon renewal of a contract. These loyalty bonuses require no future service and are not subject to any claw-back provisions were the individual to subsequently leave the club during their new contract term. They are expensed once the Company has a present legal or constructive obligation to make the payment. Loyalty bonuses for ongoing service are typically paid in equal annual instalments over the term of the contract. These are paid at the beginning of each financial year and the related charge is recognised within operating expenses in the income statement on a straight-line basis over that period.

##### **b) Initial recognition**

The costs associated with the acquisition of players' and key football management staff registrations are capitalised at the fair value of the consideration payable. Costs include transfer fees, FAPL levy fees, agents' fees incurred by the club and other directly attributable costs. Costs also include the fair value of any contingent consideration, which is primarily payable to the player's former club (with associated levy fees payable to the FAPL), once payment becomes probable. Subsequent reassessments of the amount of contingent consideration payable are also included in the cost of the player's registration. The estimate of the fair value of the contingent consideration payable requires management to assess the likelihood of specific performance conditions being met which would trigger the payment of the contingent consideration. This assessment is carried out on an individual player basis. The additional amount of contingent consideration potentially payable, in excess of the amounts included in the cost of players' registrations, is disclosed in note 19.2. Costs are fully amortised using the straight-line method over the period covered by the player's and key football management staff contract.

##### **c) Renegotiation**

Where a contract is extended, any costs associated with securing the extension are added to the unamortised balance (at the date of the amendment) and the revised book value is amortised over the remaining revised contract life.

##### **d) Disposals**

Assets available for sale (principally players' registrations) are classified as assets held for sale when their carrying value is expected to be recovered principally through a sale transaction and a sale is considered to be highly probable. Highly probable is defined as being actively marketed by the club, with unconditional offers having been received prior to a period end. These assets would be stated at the lower of the carrying amount and fair value less costs to sell.

Gains and losses on disposal of players' and key football management staff registrations are determined by comparing the fair value of the consideration receivable, net of any transaction costs, with the carrying amount and are recognised separately in the income statement within profit on disposal of players' registrations. Where a part of the consideration receivable is contingent on specified performance conditions, this amount is recognised in the income statement on the date the conditions are met.

Loan fee income on players temporarily loaned to other football clubs is recognised separately in the income statement within profit on disposal of players' registrations.

# **Manchester United Football Club Limited**

## **Notes to the financial statements (continued)**

### **2 Summary of significant accounting policies (continued)**

#### **2.12 Intangible assets - registrations and football staff remuneration (continued)**

##### **e) Impairment**

Management does not consider that it is possible to determine the value in use of an individual player or key football management staff in isolation as that individual (unless via a sale or insurance recovery) cannot generate cash flows on his own. Whilst management does not consider any individual can be separated from the single cash generating unit ("CGU"), being the operations of the Group as a whole, there may be certain circumstances where an individual is taken out of the CGU, when it becomes clear that they will not participate with the club's first team again, for example, a player sustaining a career threatening injury or is permanently removed from the first team playing squad for another reason. If such circumstances were to arise, the carrying value of the individual would be assessed against the Group's best estimate of the individual's fair value less any costs to sell and an impairment charge made in operating expenses reflecting any loss arising.

#### **2.13 Derivative financial instruments**

The Company uses derivative financial instruments to manage its exposure to fluctuations in foreign currency exchange rates. Derivative instruments utilised by the Company are typically forward currency contracts. Derivatives are initially recognised at fair value on the date a derivative contract is entered into and are subsequently re-measured at their fair value. The resulting gain or loss is recognised in the income statement immediately.

#### **2.14 Trade and other receivables**

Trade and other receivables are amounts due from customers for goods sold or services performed in the ordinary course of business. Trade and other receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. If collection is expected in one year or less, they are classified as falling due within one year. If not, they are presented as falling due after more than one year.

#### **2.15 Cash and cash equivalents**

Cash and cash equivalents includes cash in hand, deposits held at call with banks, and, if applicable, other short-term highly liquid investments with original maturities of three months or less.

#### **2.16 Trade and other payables**

Trade and other payables are obligations to pay for goods and services that have been acquired in the ordinary course of business from suppliers. Trade payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. Amounts payable are classified as current liabilities if payment falls due within one year or less. If not they are presented as falling due after more than one year.

#### **2.17 Share capital and reserves**

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares are shown in equity as a deduction from the proceeds of the issue.

# Manchester United Football Club Limited

## Notes to the financial statements (continued)

### 3 Critical accounting estimates and judgments

The preparation of financial statements requires management to make estimates, judgments and assumptions concerning the future. Estimates, judgments and assumptions are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates, judgments and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below.

#### a) Intangible assets - registrations

The costs associated with the acquisition of players' and key football management staff registrations are capitalised at the fair value of the consideration payable, including an estimate of the fair value of any contingent consideration. Subsequent reassessments of the amount of contingent consideration payable are also included in the cost of the player's and key football management staff registration. The estimate of the fair value of the contingent consideration payable requires management to assess the likelihood of specific performance conditions being met which would trigger the payment of the contingent consideration. This assessment is carried out on an individual basis. A provision of £10.4 million relating to this contingent consideration has been recognised on the balance sheet as of 30 June 2016. The maximum additional amount that could be payable as of that date is disclosed in note 19.2.

The Company will perform an impairment review on intangible assets, including player and key football management staff registrations, if adverse events indicate that the amortized carrying value of the asset may not be recoverable. Whilst no individual can be separated from the single cash generating unit ("CGU"), being the operations of the Company as a whole, there may be certain circumstances where an individual is taken out of the CGU, when it becomes clear that they will not participate with the club's first team again, for example, a player sustaining a career threatening injury or is permanently removed from the first team squad for another reason. If such circumstances were to arise, the carrying value of the individual would be assessed against the Company's best estimate of the individual's fair value less any costs to sell.

### 4 Revenue

The principal activity of the Company is the operation of a professional football club. All of the activities of the Company support the operation of the football club and the success of the first team is critical to the ongoing development of the Company. Consequently the chief operating decision maker regards the Company as operating in one material segment, being the operation of a professional football club.

All revenue derives from the Company's principal activity in the United Kingdom. Revenue can be analysed into its three main components as follows:

|              | 2016<br>£'000  | 2015<br>£'000  |
|--------------|----------------|----------------|
| Commercial   | 4,022          | 3,940          |
| Broadcasting | 131,395        | 99,997         |
| Matchday     | 94,854         | 78,686         |
|              | <b>230,271</b> | <b>182,623</b> |

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# **Manchester United Football Club Limited** **Notes to the financial statements (continued)**

## **5 Operating expenses - excluding exceptional items**

|                                                   | 2016<br>£'000    | Restated<br>2015<br>£'000 |
|---------------------------------------------------|------------------|---------------------------|
| Employee benefit expense (note 7)                 | (184,946)        | (158,289)                 |
| Operating lease costs – land and buildings        | (2,000)          | (2,000)                   |
| Operating lease costs – plant and machinery       | (214)            | (231)                     |
| Auditors' remuneration audit services             | (32)             | (28)                      |
| Loss on disposal of property, plant and equipment | (62)             | (2)                       |
| Depreciation (note 10)                            | (6,386)          | (6,715)                   |
| Amortisation of intangible assets (note 11)       | (87,853)         | (99,534)                  |
| Other operating expenses                          | (33,316)         | (22,341)                  |
|                                                   | <b>(314,809)</b> | <b>(289,140)</b>          |

## **6 Operating expenses - exceptional items**

|                                        | 2016<br>£'000   | 2015<br>£'000  |
|----------------------------------------|-----------------|----------------|
| Compensation paid for loss of office   | (8,442)         | -              |
| Impairment – registrations (note 11)   | (6,693)         | -              |
| Football League pension scheme deficit | -               | (1,247)        |
|                                        | <b>(15,135)</b> | <b>(1,247)</b> |

Compensation paid for loss of office relates to amounts payable to former team managers and certain members of the coaching staff

The registrations' impairment charge represents a reduction in the carrying value of a player no longer considered to be a member of the first team playing squad

The Football League pension scheme deficit reflects the present value of the additional contributions the Company is expected to pay to remedy the revised deficit of the scheme as per the latest triennial actuarial valuation at 31 August 2014

# **Manchester United Football Club Limited** **Notes to the financial statements (continued)**

## **7 Employees and directors**

The monthly average number of employees during the year, including directors, was as follows

|                                   | 2016<br>Number | 2015<br>Number |
|-----------------------------------|----------------|----------------|
| By activity                       |                |                |
| Football - players                | 74             | 73             |
| Football - technical and coaching | 94             | 89             |
| Administration and other          | 206            | 249            |
| Average number of employees       | 374            | 411            |

Particulars of employee benefit expenses are as shown below

|                               | 2016<br>£'000 | 2015<br>£'000 |
|-------------------------------|---------------|---------------|
| Wages and salaries            | (164,313)     | (142,299)     |
| Social security costs         | (19,683)      | (15,018)      |
| Other pension costs (note 20) | (950)         | (972)         |
|                               | (184,946)     | (158,289)     |

Directors' emoluments amounted to £4,754,000 (2015 £4,422,000), including Company contributions to defined contribution schemes of £12,000 (2015 £13,000). The number of directors who held office during the year and were members of a defined contribution scheme was 1 (2015 1). Emoluments of the highest paid director amounted to £2,962,000 (2015 £2,478,000), including Company contributions to defined contribution schemes of £nil (2015 £nil).

## **8 Net finance costs**

|                                                                | 2016<br>£'000 | 2015<br>£'000 |
|----------------------------------------------------------------|---------------|---------------|
| Interest payable on bank overdrafts                            | (1)           | (78)          |
| Unwinding of discount factors relating to player transfer fees | (2,380)       | (2,708)       |
| Total finance costs                                            | (2,381)       | (2,786)       |
| Total finance income - bank interest receivable                | 99            | 179           |
| Net finance costs                                              | (2,282)       | (2,607)       |

# Manchester United Football Club Limited

## Notes to the financial statements (continued)

### 9 Tax credit

|                                                | 2016<br>£'000 | Restated<br>2015<br>£'000 |
|------------------------------------------------|---------------|---------------------------|
| <b>Current tax</b>                             |               |                           |
| Group relief                                   | 32,665        | 17,468                    |
| Total current tax credit                       | 32,665        | 17,468                    |
| <b>Deferred tax</b>                            |               |                           |
| Origination and reversal of timing differences | (1,923)       | 3,492                     |
| Adjustments in respect of previous years       | (2,073)       | 50                        |
| Impact of change in UK corporation tax rate    | 352           | -                         |
| Total deferred tax (expense)/credit            | (3,644)       | 3,542                     |
| Total tax credit                               | 29,021        | 21,010                    |

A reconciliation of the total tax credit is shown below

|                                                                                                                 | 2016<br>£'000    | Restated<br>2015<br>£'000 |
|-----------------------------------------------------------------------------------------------------------------|------------------|---------------------------|
| <b>Loss on ordinary activities before tax</b>                                                                   | <b>(111,741)</b> | <b>(86,722)</b>           |
| Loss on ordinary activities multiplied by the weighted average UK Corporation tax rate of 20.00% (2015: 20.75%) | 22,349           | 17,995                    |
| Effect of                                                                                                       |                  |                           |
| Expenses not deductible for tax purposes                                                                        | (209)            | (393)                     |
| Transfer pricing adjustments                                                                                    | 8,388            | 5,481                     |
| Disallowed interest payable                                                                                     | -                | 220                       |
| Unrecognised deferred tax on carried forward losses                                                             | -                | (2,216)                   |
| Adjustments in respect of previous years                                                                        | (2,073)          | 44                        |
| Impact of change in UK corporation tax rate                                                                     | 566              | (121)                     |
| Total tax credit                                                                                                | 29,021           | 21,010                    |

#### Factors that may affect future tax charges:

Reductions in the main rate of UK corporation tax have been enacted. The rate will reduce from 20% to 19% from 1 April 2017 and by a further 1% to 18% from 1 April 2020. As these changes had been enacted at the balance sheet date they have been recognised in these financial statements.

**Manchester United Football Club Limited**  
**Notes to the financial statements (continued)**

**10 Property, plant and equipment**

|                                | <b>Leasehold<br/>property<br/>£'000</b> | <b>Plant and<br/>machinery<br/>£'000</b> | <b>Fixtures and<br/>fittings<br/>£'000</b> | <b>Total<br/>£'000</b> |
|--------------------------------|-----------------------------------------|------------------------------------------|--------------------------------------------|------------------------|
| <b>At 1 July 2015</b>          |                                         |                                          |                                            |                        |
| Cost                           | 149,597                                 | 30,822                                   | 35,274                                     | 215,693                |
| Accumulated depreciation       | (23,424)                                | (27,202)                                 | (23,230)                                   | (73,856)               |
| <b>Net book amount</b>         | <b>126,173</b>                          | <b>3,620</b>                             | <b>12,044</b>                              | <b>141,837</b>         |
| <b>Year ended 30 June 2016</b> |                                         |                                          |                                            |                        |
| Opening net book amount        | 126,173                                 | 3,620                                    | 12,044                                     | 141,837                |
| Additions                      | 223                                     | 19                                       | 4,197                                      | 4,439                  |
| Transfers                      | (604)                                   | 466                                      | 4                                          | (134)                  |
| Disposals                      | -                                       | (31)                                     | (53)                                       | (84)                   |
| Depreciation charge            | (1,864)                                 | (1,329)                                  | (3,193)                                    | (6,386)                |
| <b>Closing net book amount</b> | <b>123,928</b>                          | <b>2,745</b>                             | <b>12,999</b>                              | <b>139,672</b>         |
| <b>At 30 June 2016</b>         |                                         |                                          |                                            |                        |
| Cost                           | 148,991                                 | 27,720                                   | 38,251                                     | 214,962                |
| Accumulated depreciation       | (25,063)                                | (24,975)                                 | (25,252)                                   | (75,290)               |
| <b>Net book amount</b>         | <b>123,928</b>                          | <b>2,745</b>                             | <b>12,999</b>                              | <b>139,672</b>         |

Leasehold property represents improvements to the Old Trafford stadium for which the Club has a lease for the land with the parent undertaking, which expires in 2026 (note 18). The Company has the right to extend the lease indefinitely.

# Manchester United Football Club Limited

## Notes to the financial statements (continued)

### 11 Intangible assets - registrations

|                                | Total<br>£'000 |
|--------------------------------|----------------|
| <b>At 1 July 2015</b>          |                |
| Cost                           | 465,831        |
| Accumulated amortisation       | (227,685)      |
| <b>Net book amount</b>         | <b>238,146</b> |
| <b>Year ended 30 June 2016</b> |                |
| Opening net book amount        | 238,146        |
| Additions                      | 167,089        |
| Disposals                      | (68,965)       |
| Amortisation charge            | (87,853)       |
| Impairment charge (note 6)     | (6,693)        |
| <b>Closing net book amount</b> | <b>241,724</b> |
| <b>At 30 June 2016</b>         |                |
| Cost                           | 511,893        |
| Accumulated amortisation       | (270,169)      |
| <b>Net book amount</b>         | <b>241,724</b> |

The registrations' impairment charge for the year ended 30 June 2016 represents a reduction in the carrying value of a player no longer considered to be a member of the first team playing squad

### 12 Derivative financial instruments

|                                                                           | 2016            |                      | Restated<br>2015 |                      |
|---------------------------------------------------------------------------|-----------------|----------------------|------------------|----------------------|
|                                                                           | Assets<br>£'000 | Liabilities<br>£'000 | Assets<br>£'000  | Liabilities<br>£'000 |
| <b>Financial instruments carried at fair value through profit or loss</b> |                 |                      |                  |                      |
| Forward foreign exchange contracts                                        | 6,400           | (3,727)              | -                | (5,557)              |
|                                                                           | <b>6,400</b>    | <b>(3,727)</b>       | <b>-</b>         | <b>(5,557)</b>       |
| Less non-current portion                                                  |                 |                      |                  |                      |
| <b>Financial instruments carried at fair value through profit or loss</b> |                 |                      |                  |                      |
| Forward foreign exchange contracts                                        | 708             | (927)                | -                | (2,591)              |
| <b>Non-current derivative financial instruments</b>                       | <b>708</b>      | <b>(927)</b>         | <b>-</b>         | <b>(2,591)</b>       |
| <b>Current derivative financial instruments</b>                           | <b>5,692</b>    | <b>(2,800)</b>       | <b>-</b>         | <b>(2,966)</b>       |

## Manchester United Football Club Limited

### Notes to the financial statements (continued)

#### 13 Trade and other receivables

|                                                    | 2016<br>£'000  | 2015<br>£'000  |
|----------------------------------------------------|----------------|----------------|
| Trade receivables                                  | 51,581         | 25,403         |
| Less provision for impairment of trade receivables | (2,628)        | (1,773)        |
| Net trade receivables                              | 48,953         | 23,630         |
| Amounts owed by group undertakings                 | 139,971        | 118,589        |
| Other receivables                                  | 927            | 81             |
| Accrued revenue                                    | 8,821          | 559            |
| Corporation tax receivable                         | -              | 6              |
| Prepayments                                        | 6,557          | 4,378          |
|                                                    | <b>205,229</b> | <b>147,243</b> |
| Less non-current portion                           |                |                |
| Trade receivables                                  | 11,223         | 3,836          |
| <b>Non-current trade and other receivables</b>     | <b>11,223</b>  | <b>3,836</b>   |
| <b>Current trade and other receivables</b>         | <b>194,006</b> | <b>143,407</b> |

Trade receivables include transfer fees receivable from other football clubs of £46,646,000 (2015 £20,693,000), of which £11,223,000 (2015 £3,836,000) is receivable after more than one year

Amounts owed by group undertakings are unsecured, interest free and repayable on demand

#### 14 Share capital

|                                                       | 2016<br>£'000 | 2015<br>£'000 |
|-------------------------------------------------------|---------------|---------------|
| Allotted and fully paid                               |               |               |
| 1,008,546 (2015 1,008,546) ordinary shares of £1 each | 1,009         | 1,009         |

# **Manchester United Football Club Limited** **Notes to the financial statements (continued)**

## **15 Trade and other payables**

|                                             | 2016<br>£'000  | 2015<br>£'000  |
|---------------------------------------------|----------------|----------------|
| Trade payables                              | 164,441        | 114,904        |
| Amounts owed to group undertakings          | 600,407        | 436,474        |
| Other payables                              | 2,865          | 2,063          |
| Accruals                                    | 28,228         | 18,697         |
| Taxation and social security                | 12,853         | 10,109         |
|                                             | <b>808,794</b> | <b>582,247</b> |
| Less non-current portion                    |                |                |
| Trade payables                              | 40,304         | 46,512         |
| Other payables – pension scheme deficit     | 1,146          | 1,566          |
| <b>Non-current trade and other payables</b> | <b>41,450</b>  | <b>48,078</b>  |
| <b>Current trade and other payables</b>     | <b>767,344</b> | <b>534,169</b> |

Trade payables include transfer fees and other associated costs in relation to the acquisition of players' registrations of £156,292,000 (2015 £114,937,000) of which £40,304,000 (2015 £46,512,000) is due after more than one year

Amounts owed to group undertakings are unsecured, interest free and repayable on demand

## **16 Deferred tax**

The deferred tax liability comprises

|                                     | 2016<br>£'000 | Restated<br>2015<br>£'000 |
|-------------------------------------|---------------|---------------------------|
| Accelerated tax depreciation        | 2,045         | 464                       |
| Other short-term timing differences | (209)         | (1,945)                   |
| Rolled over gain on player disposal | 3,258         | 2,931                     |
|                                     | <b>5,094</b>  | <b>1,450</b>              |

The movement in the deferred tax liability was as follows

|                                                  | 2016<br>£'000 | Restated<br>2015<br>£'000 |
|--------------------------------------------------|---------------|---------------------------|
| At 1 July                                        | 1,450         | 4,992                     |
| Expensed/(credited) to income statement (note 9) | 3,644         | (3,542)                   |
| <b>At 30 June</b>                                | <b>5,094</b>  | <b>1,450</b>              |

## **17 Contingencies**

At 30 June 2016, the Company had no material contingent liabilities in respect of legal claims arising in the ordinary course of business (2015 none)

# Manchester United Football Club Limited

## Notes to the financial statements (continued)

### 18 Operating lease arrangements

#### 18.1 The Company as lessee

The Company leases various premises and plant and equipment under non-cancellable operating lease agreements. The majority of the lease agreements are renewable at the end of the lease period at market rate. The operating lease expenditure charged to the income statement during the year is disclosed in note 5. The future aggregate minimum lease payments under non-cancellable operating leases are as follows:

|                                             | 2016<br>£'000 | 2015<br>£'000 |
|---------------------------------------------|---------------|---------------|
| No later than 1 year                        | 2,188         | 2,231         |
| Later than 1 year and no later than 5 years | 8,164         | 8,299         |
| Later than 5 years                          | 12,000        | 14,000        |
|                                             | <b>22,352</b> | <b>24,530</b> |

### 19 Capital commitments and contingent transfer fees

#### 19.1 Capital commitments

At 30 June 2016, the Company had capital commitments relating to property, plant and equipment amounting to £5.4 million (2015: £0.1 million).

#### 19.2 Contingent transfer fees

Under the terms of certain contracts with other football clubs in respect of player transfers, additional amounts would be payable by the Company if certain conditions are met. These excess amounts are only recognised within the cost of players' registrations when the Company considers that it is probable that the condition related to the payment will be achieved. The maximum additional amounts that could be payable is £35,753,000 (2015: £26,271,000).

At 30 June 2016, the potential amount payable by type of condition and category of player was:

|                               | First team squad<br>£'000 | Other<br>£'000 | Total<br>£'000 |
|-------------------------------|---------------------------|----------------|----------------|
| Type of condition             |                           |                |                |
| MUFC appearances/new contract | 20,304                    | 4,462          | 24,766         |
| International appearances     | 10,827                    | 160            | 10,987         |
|                               | <b>31,131</b>             | <b>4,622</b>   | <b>35,753</b>  |

At 30 June 2015, the potential amount payable by type of condition and category of player was:

|                               | First team squad<br>£'000 | Other<br>£'000 | Total<br>£'000 |
|-------------------------------|---------------------------|----------------|----------------|
| Type of condition             |                           |                |                |
| MUFC appearances/new contract | 19,526                    | 3,410          | 22,936         |
| International appearances     | 3,200                     | 135            | 3,335          |
|                               | <b>22,726</b>             | <b>3,545</b>   | <b>26,271</b>  |

Similarly, under the terms of contracts with other football clubs for player transfers, additional amounts would be payable to the Company if certain specific performance conditions are met. In accordance with the recognition criteria for contingent assets, such amounts are only disclosed by the Company when probable and recognized when virtually certain. As of 30 June 2016, the amount of such receipt considered to be probable was £1.6 million (2015: £2.2 million).

# **Manchester United Football Club Limited**

## **Notes to the financial statements (continued)**

### **20 Pensions**

#### **20.1 Defined benefit scheme**

The Company participates in the Football League Pension and Life Assurance Scheme ("the Scheme"). The Scheme is a funded multi-employer defined benefit scheme, with 92 participating employers, and where members may have periods of service attributable to several participating employers. The Company is unable to identify its share of the assets and liabilities of the Scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme. The Company has received confirmation that the assets and liabilities of the Scheme cannot be split between the participating employers. The Company is advised only of the additional contributions it is required to pay to make good the deficit. These contributions could increase in the future if one or more of the participating employers exits the Scheme.

The last triennial valuation of the Scheme was carried out at 31 August 2014 where the total deficit on the ongoing valuation basis was £21.8 million. The accrual of benefits ceased within the Scheme on 31 August 1999, therefore there are no contributions relating to current accrual. The Company pays monthly contributions based on a notional split of the total expenses and deficit contributions of the Scheme.

A charge of £nil has been made to the income statement during the year (2015: £1,247,000), representing the present value of the additional contributions the Company is expected to pay to make good the increased deficit of the Scheme.

The Company currently pays total contributions of £437,000 per annum, and based on the actuarial assumptions, will be sufficient to pay off the deficit by 28 February 2020.

As at 30 June 2016, the present value of the Company's outstanding contributions (i.e. its future liability) is £1,566,000 (2015: £1,980,000). This amounts to £420,000 (2015: £414,000) due within one year and £1,146,000 (2015: £1,566,000) due after more than one year and is included within other payables.

The funding objective of the Trustees of the Scheme is to have sufficient assets to meet the Technical Provisions of the Scheme. In order to remove the deficit revealed at the previous actuarial valuation (dated 31 August 2014), deficit contributions are payable by all participating clubs. Payments are made in accordance with a pension contribution schedule. As the Scheme is closed to accrual, there are no additional costs associated with the accruing of members' future benefits. In the case of a club being relegated from the Football League and being unable to settle its debt, then the remaining clubs may, in exceptional circumstances, have to share the deficit.

Upon the wind-up of the Scheme with a surplus, any surplus will be used to augment benefits. Under the more likely scenario of there being a deficit, this will be split amongst the clubs in line with their contribution schedule. Should an individual club choose to leave the Scheme, they would be required to pay their share of the deficit based on a proxy buyout basis (i.e. valuing the benefits on a basis consistent with buying out the benefits with an insurance company).

#### **20.2 Defined contribution schemes**

Contributions made to defined contribution pension arrangements are charged to the profit and loss account in the year to which they relate and for the year ended 30 June 2016 amounted to £950,000 (2015: £972,000). As at 30 June 2016, amounts accrued in relation to the defined contribution scheme amounted to £247,000 (2015: £283,000).

The assets of all pension schemes to which the Company contributes are held separately from the Company in independently administered funds.

# Manchester United Football Club Limited

## Notes to the financial statements (continued)

### 21 Debt of fellow subsidiary company

MU Finance plc, a fellow subsidiary of the Company, has issued senior secured notes that are secured by a first-ranking lien over all shares and substantially all property and assets of the issuer and guarantors, which by definition incorporates Red Football Limited, Red Football Junior Limited, Manchester United Limited and the Company. The principal amount outstanding at 30 June 2016 was the sterling equivalent of £314.3 million (\$425.0 million).

MU Finance plc also has a secured term loan facility. The loan is secured against substantially all of the assets of each of the guarantors, which by definition incorporates Red Football Limited, Red Football Junior Limited, Manchester United Limited, MU Finance plc and the Company. The principal amount outstanding at 30 June 2016 was the sterling equivalent of £166.0 million (\$225.0 million).

### 22 Financial instruments

An explanation of the Company's financial instrument risk management objectives, policies and strategies are set out in the Directors' report on page 4.

#### Currency risk

The Company is exposed to the following currency risks:

- Significant revenue received in Euros primarily as a result of participation in European cup competitions. During the year ended 30 June 2016 the Company received a total of €41.8 million of revenue denominated in Euros (2015: €6.2 million). The Company seeks to hedge the majority of the currency risk of this turnover by placing forward contracts at the point at which it becomes reasonably certain that it will receive the turnover.
- Payments and receipts of transfer fees may also give rise to foreign currency exposures. Due to the nature of player transfers the Company may not always be able to predict such cash flows until the transfer has taken place. Where possible and depending on the payment profile of transfer fees payable and receivable the Company will seek to hedge future payments and receipts at the point it becomes reasonably certain that the payments will be made or the income will be received. When hedging income to be received, the Company also takes account of the credit risk of the counterparty.

It is the policy of the Company to enter into forward foreign exchange contracts to cover specific foreign currency payments and receipts. The following table details the forward foreign currency contracts outstanding at the balance sheet date:

|           | 2016                        |                              |                            |                        | 2015                        |                              |                            |                        |
|-----------|-----------------------------|------------------------------|----------------------------|------------------------|-----------------------------|------------------------------|----------------------------|------------------------|
|           | Average<br>exchange<br>rate | Foreign<br>currency<br>€'000 | Notional<br>value<br>£'000 | Fair<br>value<br>£'000 | Average<br>exchange<br>rate | Foreign<br>currency<br>€'000 | Notional<br>value<br>£'000 | Fair<br>value<br>£'000 |
| Buy Euro  | 1.3122                      | (83,667)                     | (63,758)                   | 6,391                  | 1.2676                      | (73,375)                     | (57,887)                   | (5,557)                |
| Sell Euro | 1.3426                      | 39,000                       | 29,048                     | (3,718)                | -                           | -                            | -                          | -                      |

#### Interest rate risk

The Company has no significant interest bearing assets other than cash on deposit which attracts interest at a small margin above UK base rates.

#### Credit risk

Credit risk arises from cash and cash equivalents and trade and other receivables (excluding receivables owed by group undertakings and prepayments) – the maximum credit exposure is £208,062,000 (2015: £93,562,000). Management does not expect any material losses from non-performance by these counterparties.

## **Manchester United Football Club Limited**

### **Notes to the financial statements (continued)**

#### **23 Events after the reporting date**

The playing registrations of certain footballers have been disposed of, subsequent to 30 June 2016, for total proceeds, net of associated costs, of £7,717,000. The associated net book value was £126,000.

Subsequent to 30 June 2016 the playing registrations of certain players were acquired or extended for a total consideration, including associated costs, of £166,394,000.

#### **24 Ultimate parent undertaking and controlling party**

The immediate parent undertaking is Manchester United Limited.

The ultimate parent undertaking and controlling party is Red Football Limited Partnership, a limited partnership formed in the state of Nevada, United States of America whose general partner is Red Football General Partner, Inc. a corporation formed in the state of Nevada, United States of America. Red Football Limited Partnership and Red Football General Partner, Inc. are controlled by family trusts affiliated with the Glazer family.

Manchester United plc, a company incorporated in the Cayman Islands and listed on the New York Stock Exchange, is the parent undertaking of the largest group of undertakings to consolidate these financial statements at 30 June 2016. The consolidated financial statements of Manchester United plc can be obtained from the website [www.manutd.com](http://www.manutd.com).

Red Football Limited is the parent undertaking of the smallest group of undertakings to consolidate these financial statements 30 June 2016. The consolidated financial statements of Red Football Limited can be obtained from the Company Secretary, Red Football Limited, Old Trafford, Manchester, M16 0RA.

#### **25 Reconciliation of equity and profit under UK GAAP to FRS 101**

These are the Company's first financial statements prepared in accordance with FRS 101.

The accounting policies set out in note 2 have been applied in preparing the financial statements for the year ended 30 June 2016, the comparative information presented in these financial statements for the year ended 30 June 2015 and in the preparation of an opening FRS 101 balance sheet at 1 July 2014 (the Company's date of transition).

In preparing its opening FRS 101 balance sheet, the Company has adjusted amounts reported previously in financial statements prepared under UK GAAP. An explanation of how the transition from UK GAAP to FRS 101 has affected the Company's income statement and balance sheet is set out in the following tables and notes that accompany the tables.

# Manchester United Football Club Limited

## Notes to the financial statements (continued)

### 25 Reconciliation of equity and profit under UK GAAP to FRS 101 (continued)

#### Balance sheet as at 1 July 2014

|                                     | UK GAAP<br>£'000 | A<br>£'000 | B<br>£'000 | FRS 101<br>£'000 |
|-------------------------------------|------------------|------------|------------|------------------|
| <b>ASSETS</b>                       |                  |            |            |                  |
| <b>Non-current assets</b>           |                  |            |            |                  |
| Property, plant and equipment       | 144,053          | -          | -          | 144,053          |
| Players' registrations              | 204,572          | -          | -          | 204,572          |
| Trade and other receivables         | 41               | -          | -          | 41               |
|                                     | 348,666          | -          | -          | 348,666          |
| <b>Current assets</b>               |                  |            |            |                  |
| Trade and other receivables         | 113,980          | -          | -          | 113,980          |
| Cash and cash equivalents           | 30,398           | -          | -          | 30,398           |
|                                     | 144,378          | -          | -          | 144,378          |
| <b>Total assets</b>                 | <b>493,044</b>   | <b>-</b>   | <b>-</b>   | <b>493,044</b>   |
| <b>EQUITY AND LIABILITIES</b>       |                  |            |            |                  |
| <b>Equity</b>                       |                  |            |            |                  |
| Share capital                       | 1,009            | -          | -          | 1,009            |
| Retained earnings                   | 19,286           | (59)       | (220)      | 19,007           |
|                                     | 20,295           | (59)       | (220)      | 20,016           |
| <b>Non-current liabilities</b>      |                  |            |            |                  |
| Derivative financial instruments    | -                | 59         | -          | 59               |
| Trade and other payables            | 39,497           | -          | -          | 39,497           |
| Deferred tax liability              | 4,772            | -          | 220        | 4,992            |
|                                     | 44,269           | 59         | 220        | 44,548           |
| <b>Current liabilities</b>          |                  |            |            |                  |
| Trade and other payables            | 428,480          | -          | -          | 428,480          |
|                                     | 428,480          | -          | -          | 428,480          |
| <b>Total equity and liabilities</b> | <b>493,044</b>   | <b>-</b>   | <b>-</b>   | <b>493,044</b>   |

#### Explanations of UK GAAP to FRS 101 adjustments at 1 July 2014

A - Under FRS 101, the fair value of derivative financial instruments are recognised

B - Under FRS 101, deferred tax is recognised in respect of temporary differences

# **Manchester United Football Club Limited** **Notes to the financial statements (continued)**

## **25 Reconciliation of equity and profit under UK GAAP to FRS 101 (continued)**

### **Income statement for the year ended 30 June 2015**

|                                                                           | <b>UK GAAP<br/>£'000</b> | <b>A<br/>£'000</b> | <b>B<br/>£'000</b> | <b>FRS 101<br/>£'000</b> |
|---------------------------------------------------------------------------|--------------------------|--------------------|--------------------|--------------------------|
| <b>Revenue</b>                                                            | 182,623                  | -                  | -                  | <b>182,623</b>           |
| Operating expenses – excluding exceptional items                          | (283,642)                | (5,498)            | -                  | <b>(289,140)</b>         |
| Operating expenses – exceptional items                                    | (1,247)                  | -                  | -                  | <b>(1,247)</b>           |
| <b>Total operating expenses</b>                                           | <b>(284,889)</b>         | <b>(5,498)</b>     | -                  | <b>(290,387)</b>         |
| <b>Operating loss before profit on disposal of players' registrations</b> | <b>(102,266)</b>         | <b>(5,498)</b>     | -                  | <b>(107,764)</b>         |
| Profit on disposal of players' registrations                              | 23,649                   | -                  | -                  | <b>23,649</b>            |
| <b>Operating loss</b>                                                     | <b>(78,617)</b>          | <b>(5,498)</b>     | -                  | <b>(84,115)</b>          |
| Finance costs                                                             | (2,786)                  | -                  | -                  | <b>(2,786)</b>           |
| Finance income                                                            | 179                      | -                  | -                  | <b>179</b>               |
| <b>Net finance costs</b>                                                  | <b>(2,607)</b>           | -                  | -                  | <b>(2,607)</b>           |
| <b>Loss on ordinary activities before tax</b>                             | <b>(81,224)</b>          | <b>(5,498)</b>     | -                  | <b>(86,722)</b>          |
| Tax credit                                                                | 19,907                   | -                  | 1,103              | <b>21,010</b>            |
| <b>Loss for the year</b>                                                  | <b>(61,317)</b>          | <b>(5,498)</b>     | <b>1,103</b>       | <b>(65,712)</b>          |

# Manchester United Football Club Limited

## Notes to the financial statements (continued)

### 25 Reconciliation of equity and profit under UK GAAP to FRS 101 (continued)

Balance sheet as at 30 June 2015

|                                     | UK GAAP<br>£'000 | A<br>£'000 | B<br>£'000 | FRS 101<br>£'000 |
|-------------------------------------|------------------|------------|------------|------------------|
| <b>ASSETS</b>                       |                  |            |            |                  |
| <b>Non-current assets</b>           |                  |            |            |                  |
| Property, plant and equipment       | 141,837          | -          | -          | 141,837          |
| Players' registrations              | 238,146          | -          | -          | 238,146          |
| Trade and other receivables         | 3,836            | -          | -          | 3,836            |
|                                     | 383,819          | -          | -          | 383,819          |
| <b>Current assets</b>               |                  |            |            |                  |
| Trade and other receivables         | 143,407          | -          | -          | 143,407          |
| Cash and cash equivalents           | 69,292           | -          | -          | 69,292           |
|                                     | 212,699          | -          | -          | 212,699          |
| <b>Total assets</b>                 | 596,518          | -          | -          | 596,518          |
| <b>EQUITY AND LIABILITIES</b>       |                  |            |            |                  |
| <b>Equity</b>                       |                  |            |            |                  |
| Share capital                       | 1,009            | -          | -          | 1,009            |
| Retained deficit                    | (42,031)         | (5,557)    | 883        | (46,705)         |
|                                     | (41,022)         | (5,557)    | 883        | (45,696)         |
| <b>Non-current liabilities</b>      |                  |            |            |                  |
| Derivative financial instruments    | -                | 2,591      | -          | 2,591            |
| Trade and other payables            | 48,078           | -          | -          | 48,078           |
| Deferred revenue                    | 527              | -          | -          | 527              |
| Deferred tax liability              | 2,333            | -          | (883)      | 1,450            |
|                                     | 50,938           | 2,591      | (883)      | 52,646           |
| <b>Current liabilities</b>          |                  |            |            |                  |
| Derivative financial instruments    | -                | 2,966      | -          | 2,966            |
| Trade and other payables            | 534,169          | -          | -          | 534,169          |
| Deferred revenue                    | 52,433           | -          | -          | 52,433           |
|                                     | 586,602          | 2,966      | -          | 589,568          |
| <b>Total equity and liabilities</b> | 596,518          | -          | -          | 596,518          |

#### Explanations of UK GAAP to FRS 101 adjustments for 2015

**A** - Under FRS 101, the fair value movements and fair value of derivative financial instruments are recognised

**B** - Under FRS 101, deferred tax is recognised in respect of temporary differences